WARRANTY ATLAS · Vermont (VT)

Law last amended: 2021 (eff. 2021-06-07) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-09

Cites: Vt. Stat. Ann. tit. 9, § 4086; 9 V.S.A. § 4097(9) (warranty-reimbursement discrimination); 9 V.S.A. §§ 4099, 4100b (remedies/Board)
Flagged state.

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 4086(b); see (a)
Mfr-backed service contract	**Not addressed**	-	§ 4086(a)
CPO warranty	**Not addressed**	-	§ 4086(a)
Independent service contract	**Not addressed**	-	§ 4086(c)

Hourly rate: The hourly rate may not be less than the dealer's rate to customers for nonwarranty service. Labor is paid 'at the retail rate customarily charged', provided the nonwarranty labor rate is 'routinely posted in a place conspicuous' to service customers. The dealer's retail amounts are presumed fair. The manufacturer can rebut by comparison with at least 4 other same-line or competing-line dealers nearby. The 100-RO/60-day method covers parts markup only.

Audit fields

Field	Rule	Pinpoint
Claim decision	45 days; late claim deemed approved: Yes. Must be 'specifically disapproved in writing' within 45 days of receipt.	§ 4086(e)
Payment	45 days after approval. Dealer filing deadline: Silent.	
Chargebacks	12 months; fraud: Fraudulent claims: 2 years following payment ((e)). Paid claims charged back only if false/fraudulent, repairs improper or unnecessary, or dealer failed to reasonably substantiate per reasonable written procedures or other reasonable means ((e)). If dealer protests to the Transportation Board within 30 days of…	§ 4086(f); see (e), (g), (h)
Rate resubmission	Silent. Sample: No statutory labor-rate sample. Excluded: none listed.	§ 4086(c) (last sentence); floor and presumption § 4086(b)
Mfr response	Silent; no response = approved: no rule in statute. Challenge: Rebut presumption by showing the dealer's amount is unfair and unreasonable in light of the practices of at least four other franchised dealers in the vicinity offering the same or a similar competitive line-make. Forum: Vermont Transportation Board protest (§ 4100b) or Superior Court (§ 4.…	§ 4086(b)
Penalties	Civil action to enjoin and recover actual damages plus costs incl. reasonable attorney's fee (§ 4099), stayed if a party files with the Board within 60 days; Board protest with attorney's fees and costs to prevailing party (§ 4100b(i)); 4-year limitations period (§ 4100d). Transportation Board decisions and orders (§ 4100b(c)); civil p…	9 V.S.A. §§ 4099, 4100b, 4100d; § 4097(9)
Audit procedures	Audit climate score 30/100 (Elevated restrictiveness; chargeback limits 30/75 + process and oversight 0/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: yes; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Claims *(§ 4086(e)): "any claim not specifically disapproved in writing within 45 days after the receipt shall be construed to be approved and payment must follow within 45 days."*
Chargebacks *(§ 4086(f); see (e), (g), (h)): "A manufacturer shall retain the right to audit warranty claims for a period of one year after the date on which the claim is paid."*
Rate *(§ 4086(c) (last sentence); floor and presumption § 4086(b)): "the manufacturer shall reimburse the new motor vehicle dealer for any labor performed at the retail rate customarily charged by that franchisee for the same labor when not performed in satisfaction of a warranty"*
Factory time *(§ 4086(b); see (a)): "Time allowances for the diagnosis and performance of predelivery and warranty service shall be reasonable and adequate for the work to be performed. The hourly rate paid to a new motor vehicle dealer shall not be less than the rate…"*

Notes

45-day claim clocks (longer than the usual 30). (e) says fraudulent claims can be charged back for 2 years after payment, while (f) sets a 1-year audit period for warranty claims. The retail labor floor covers predelivery as well as warranty labor. Time allowances must be 'reasonable and adequate' ((b)).

Source: official · https://legislature.vermont.gov/statutes/section/09/108/04086 (full chapter https://legislature.vermont.gov/statutes/fu… · Confidence: high. Public-source research summary for audit planning, not legal advice. No company-approved rates. Confirm against the cited statute; escalate disputes to Legal.